

Before the
United States Copyright Office
Library of Congress
Washington, D.C. 20559

In the Matter of:

Section 1201 Study

Docket No. 2015-8

**JOINT REPLY OF THE DVD COPY CONTROL ASSOCIATION AND THE
ADVANCED ACCESS CONTENT SYSTEM LICENSING ADMINISTRATOR, LLC
TO THE REQUEST FOR ADDITIONAL COMMENTS**

I. Any Proposal Must Not Threaten Either the Legal Framework of Section 1201 or the Digital Marketplace It Has Fostered

Section 1201 has been and remains instrumental to today's robust digital marketplace. At a recent hearing, Members of the House Judiciary Subcommittee on Courts, Intellectual Property and the Internet recognized that section 1201 has fueled the economic growth of the digital economy.¹ Ranking Member Conyers said: "[Section 1201] strengthens our copyright system by cultivating innovative business models that encourage the lawful dissemination of copyrighted works to the public. This in turn discourages piracy and infringement. But nonetheless, some ignore the effectiveness of [section 1201] by wanting to weaken it or even eliminate it."² At that

¹ See Hearing of House Judiciary Subcommittee on Courts, Intellectual Property and the Internet, *Chapter 12 of Title 17*; Serial No. 113–115 at 2 (Sep. 17, 2014) (hereinafter "House Judiciary Subcommittee Hearing") (Vice Chairman Marino).

² *Id.* at 4.

hearing, Representative Nadler addressed some of the contentions advanced in comments filed to date in this Study; he noted

The DMCA has been effective and has worked to encourage the creation of new digital works and has allowed authors a way to protect against copyright infringement while also helping to promote the development of new and innovative business models. Some of the witnesses today will argue that these anti-circumvention provisions have been used to stifle a variety of legitimate activities. However, the DMCA has also been successful by promoting the creation of many new legal online services in the United States that consumers use to access movies and TV shows. Companies that distribute their works digitally often use technological protection measures or TPMs to protect their works from unauthorized access or use. . . . Copyright owners depend on these TPMs as an effective way to respond to copyright infringement and a way to make their works available online. Although piracy continues, TPMs have played a key role in reducing it,³

Most importantly, Representative Nadler correctly concluded:

[E]nactment of the DMCA has led to a long period of innovation and benefits for consumers. Section 1201 has proven to be extremely helpful to creators because it has helped creators to have the confidence to provide video content over the internet despite the risk of piracy. And Section 1201 has helped deter theft of unauthorized access by/or unauthorized access by prohibiting circumvention of protection measures and trafficking tools designed for circumvention.⁴

In the most recent recommendation of the triennial rulemaking, the Register of Copyright unequivocally stated the same:

Enacted by Congress in 1998, the DMCA has fostered widespread dissemination and enjoyment of creative works by establishing legal protections for copyrighted content—as well as for the consumers and businesses who wish to access and use it—whether over the internet or through a computer or device.⁵

³ House Judiciary Subcommittee Hearing, *supra* note 1 at 2.

⁴ *Id.* at 3.

⁵ Section 1201 Rulemaking: Sixth Triennial Proceeding to Determine Exemptions to the Prohibition on Circumvention at 1 (Oct. 2015) (citation omitted) (Recommendation of the Register of Copyrights).

In light of the success of today’s digital marketplace, DVD CCA and AACS LA once again reiterate their concern that any efforts to address either the application of section 1201 beyond the core copyright industries or even the alleged shortcomings with the statutory exemptions must not come at the expense of denying proprietors of technological protection measures (like DVD CCA and AACS LA) and core copyright holders the full array of legal tools provided under section 1201.

II. A Streamlined Rulemaking Will Address Concerns Raised in the Course of the Study

The Copyright Office can contribute to the improvement of section 1201’s operation by focusing on adjusting the triennial rulemaking that it conducts.

A. Renewal Process Can Be Facilitated

There is significant consensus that the rulemaking should be streamlined to permit previously granted exemptions to be more easily renewed.⁶ While more work may be needed on what constitutes “meaningful opposition,” the parties did agree that the Register could rely on the evidentiary record developed in the prior rulemaking when considering the renewal of an exemption.⁷ By taking advantage of this consensus and focusing its efforts on the rulemaking, the Copyright Office would be able to address the issues of renewing unobjectionable

⁶ See Additional Comments of Association of American Publishers, Entertainment Software Association, Motion Picture Association of America, Recording Industry Association of America at 2 (Oct. 28, 2016); Reply Comments of the Electronic Frontier Foundation at 3 (April 3, 2016); see also U.S. Copyright Office Public Roundtable on Section 1201 at 155:1-5 (May 19, 2016) (hereinafter “Roundtable Transcript”) (“And in the comments that the Copyright Office has received, there seems to be . . . some consensus that doing something would be permissible and advisable to deal with repeated exemption requests”) (Smith, Regan).

⁷ See Roundtable Transcript at 167:4-15 (“I’m in agreement with my colleague, Mr. Sheffner, on this. And to expand a little bit and capture some of the other comments that have been made, I think the notion of bringing forward the evidence from the record or referring to it. . .we’d be okay with that”) (Turnbull, Bruce).

exemptions and reducing the burden on the rulemaking participants. Both are goals that the Register of Copyright had previously identified.

An improved streamlined rulemaking may also make a substantive difference. In its Request for Additional Comments, the Copyright Office noted that the Librarian in his most recent determination had approved exemptions for certain noninfringing uses, which were apparently not clearly authorized under the statutory exemptions.⁸ If the Copyright Office acts on the consensus discussed above, the exemptions resulting from the Sixth Triennial Rulemaking would be the immediate beneficiaries of a new streamlined renewal process.

Furthermore, to the extent that remedial exemptions for the alleged shortcomings of the statutory exemptions do not already exist, the noninfringing uses advanced under the statutory exemptions and their shortcomings should be the province of the rulemaking. As DVD CCA and AACS LA have previously stated, a legislative “fix” to codify any of the previously granted triennial exemptions runs the same risk that even amended statutory exemptions may also inevitably become unresponsive to future changes in technology and industry practices, just as current statutory exemptions are alleged to be today. Instead, the same noninfringing uses facilitated under the statutory exemptions could (and should) be advanced in the rulemaking. Agency rulemaking is superior to legislative action as periodic reviews on a factual record result in rules that are more responsive and appropriate to changing technology and uses. To that end, most - if not all - of the proposed changes could be achieved through carefully crafted exemptions developed on a factual record. Once recommended by the Copyright Office and approved by the Librarian, these exemptions would then be subject to the streamlined renewal

⁸ See U.S. Copyright Office, Library of Congress, Section 1201 Study: Request for Additional Comments, 81 Fed. Reg. 66296 (Sep. 27, 2016).

process, which would be a more flexible tool than legislation to ensure that the rules of the road are appropriate and effective.

B. Assistance Can Be Accommodated Through the Rule-Making Process

DVD CCA and AACCS LA have already pointed out that third-party assistance can be permitted as a result of the rulemaking proceeding. For example, the 2010 and 2012 exemptions at least implicitly authorized librarians to assist professors and other intended exemption beneficiaries to circumvent CSS in order to create the short segment copies from motion pictures distributed on DVDs for the particular exempted purposes. In 2015, the formulation of the exemptions for the same intended beneficiaries changed, causing uncertainty about the ability of librarians to provide this third-party assistance.⁹ DVD CCA and AACCS LA, as previously stated, believe that the 2010 and 2012 formulations are acceptable in the specific contexts of the record of those rulemakings and the limitations stated in those rules (and that extending those to future rulemakings would be acceptable assuming the contexts remain the same).¹⁰ Perhaps more usefully, as DVD CCA and AACCS LA have stated throughout this Study, both organizations remain willing and able to engage with parties that have obtained exemptions (or are seeking and obtaining exemptions in the future) to find ways to license tools, and perhaps services for using tools, to enable the exemptions.¹¹

⁹ See Roundtable Transcript, *supra* note 6 at 53:10-54:5 (May 20, 2016) (Butler, Brandon).

¹⁰ See *id.* at 82:8-14 (Turnbull, Bruce).

¹¹ See *id.* at 46:8-47:16, 83:3-8 (Turnbull, Bruce).

In sum, the Copyright Office should focus its efforts on the rulemaking, which is capable of addressing many of the concerns raised in the course of this Study.

Date: November 16, 2016

Respectfully submitted,

/s/ Bruce H. Turnbull
Bruce H. Turnbull
Turnbull Law Firm PLLC
5335 Wisconsin Avenue, NW STE 440
Washington, DC 20015
202-274-1801
turnbull@bhtlawfirm.com

/s/ David J. Taylor
David Jonathan Taylor
Right Size Law PLLC
621 G ST SE
Washington, DC 20003
202-546-1536
david.taylor@rightsize.com